

child care worker who lives in your home. To be able to claim the child care credit, you must make sure to pay the required employment taxes—Social Security, Medicare, and unemployment—for your employee. Keep strict records that prove these taxes were paid.

- **Home Improvements.** A home improvement, also known as a **capital improvement**, is a renovation that increases your home's value. These are not relevant for renters. But if you own a home, save all receipts related to home improvements. Although you can't deduct these expenses now, you can add them to the original purchase price of your home when you're ready to sell; this reduces the reported gain you get (selling price minus the amount you paid for the house) and therefore the amount of tax you pay on the sale. Routine repairs like painting don't count, but adding a room, putting on a new roof, installing a new toilet, paneling walls, or retiling a floor do.

If you sell your home and make a profit, you currently don't have to pay tax on that profit if it's less than \$250,000 if you're single or \$500,000 if you're married and filing jointly. You can qualify for this tax break as long as the home has been your principal residence for at least two of the previous five years. Some people believe that these high exemptions mean you no longer have to keep a file on your home improvements, since few couples will see a profit of more than \$500,000 on the sale of their homes. But since there's no telling how these laws will hold up in the future, I say keep the file. There's absolutely no downside to having a few extra documents in your financial folders, just in case. (For details go to www.irs.gov and consult Publication 530, *Tax Information for First-Time Homeowners*, or Publication 523, *Selling your Home*.)

- **Home (Purchase).** Keep the closing statement and any other paperwork related to the purchase of your home. You may need these documents for tax purposes when you sell your home.